

openness of business operations and enhances disclosures under existing indicators.

A closer examination of the KPIs reveals that they aim to nudge India Inc. to reduce, improve, and report environmental and social impacts, says Sumit Seth, Partner at Price Waterhouse & Co Chartered Accountants. This, he says, “[Aligns] with our goal of achieving climate-related objectives under India’s Nationally Determined Contributions (NDC)”. It is akin to other environmental and social goals like the UN Sustainable Development Goals and the National Guidelines on Responsible Business Conduct.

THE OPPORTUNITY

A crucial part of the BRSR Core is the requirement that companies provide reasonable assurance on the disclosures they make. Sebi brought this clause in to eliminate greenwashing—the practice of making inaccurate environmental claims about activities that a company undertakes. The regulator requires firms to obtain assurance of such activities from an independent party.

This independent party must have the requisite expertise and, at the same time, not have a conflict of interest. Satish Ramchandani, Co-founder and Chief Business Officer of ESG data analysis provider Updapt, explains, “The assurance provider or any of its associates shall not sell its product or shall not provide non-audit or non-assurance-related services, including consulting services, to the company.”

Sebi seems to be aware that companies may face some hiccups in adapting. So, it has suggested a glide path: The BRSR Core disclosures will start with the Top 150 listed entities by market cap in FY24.

Embedding BRSR Core into companies’ reporting would of-

fer them several compelling short- and long-term benefits. “It would enhance business value by uncovering new opportunities, improving market positioning, providing greater access to capital investment, and reducing risks. It would also foster better corporate citizenship, attract top talent, and drive lasting success,” says an NTPC spokesperson. NTPC is one of the firms that is in the process of providing reasonable assurance on ESG metrics starting from FY24.

Of course, for some firms, these

ability Officer of ITC.

Similarly, with two years of voluntary reporting on BRSR parameters, Dalmia Bharat has developed robust internal infrastructure to align with Core requirements. This experience has significantly eased the implementation process. But Arvind Bodhankar, Executive Director and Chief Risk Officer of Dalmia Bharat Group, says there are still some things that need to be ironed out in the framework.

He says there should be detailed guidelines for each parameter high-



“BRSR Core has come at a time when businesses all over the world are realising the need for strengthening the resilience of their supply chains, particularly in the aftermath of the Covid-19 pandemic”

SAMEER JAIN

MANAGING DIRECTOR, PRIMUS PARTNERS

disclosures are nothing new. For instance, ITC has adopted sustainability standards voluntarily over the past decade and can cope better with the new rules. It has obtained independent third-party assurance for its sustainability reports since it started reporting this in 2004. Its GHG inventory is also verified by a third-party assurance provider, and the company set 100 KPIs in terms of sustainability nearly 20 years ago. This allowed ITC to meet Sebi’s standards seamlessly, says Madhulika Sharma, Chief Sustain-

lighted in the BRSR to standardise its implementation. Since it was launched, no further guidelines have been issued, and the government must take it up on priority.

There are, however, companies that might not find it as easy to adhere to the framework. For instance, L&T, which has a geographical spread across the country and globe, implementing BRSR Core is turning out to be a challenge. “While some companies in sectors like manufacturing and services have a limited number of